

Private AI System for Tax, GST, TDS & Accounting

An AI Assistant That Actually Does the Work — Not Just Answers Questions

GSTR-1

GSTR-2B

GSTR-3B

TDS / TCS

Income Tax

Accounting

Private Intranet AI

For Tax Practitioners · Accountants · Finance Teams · Compliance Professionals

Internal Proposal — Version 3.0 — October 2026 — Confidential

1. What Are We Building?

A **private AI system for Income Tax, GST, TDS, Accounting and Compliance work** that helps finance and tax professionals complete actual day-to-day work — not just answer questions.

The system reads, validates and processes:

- ✓ PDF invoices, Excel registers, Tally/ERP exports
- ✓ GSTR-2B JSON, Form 26AS, AIS, TIS downloads
- ✓ Bank statements, salary registers, challan data
- ✓ Previous ITRs, Form 16, investment proofs

The system produces:

- ✓ GSTR-1 working + portal-ready JSON
- ✓ GSTR-2B reconciliation + ITC eligibility
- ✓ GSTR-3B computation + net tax payable
- ✓ TDS computation + FVU data
- ✓ ITR working + tax computation
- ✓ Professional Excel / PDF / Word reports

Instead of an employee doing every step manually, the AI does the repetitive preparation and checking — the professional reviews exceptions and approves.

2. How Is This Different From ChatGPT?

✗ Normal AI Chatbot

"What is GSTR-1?" → Explains it.
Passive. Informational only. Sends client data to external cloud.

✓ Our Private Intranet AI

"Prepare ABC's GSTR-1 for September" →
Reads 847 invoices, validates, classifies, flags 23 errors, generates JSON.
Active. Work completion. Data stays inside office.



3. The Intranet AI — Architecture & How It Works

❌ Public Cloud AI (ChatGPT / cloud APIs)

Client PAN, GSTIN, bank data, tax returns leave your office and go to external servers. Unacceptable for statutory client data.

✅ Private Intranet AI (our approach)

AI model runs on a server inside your office LAN. Zero data leaves your premises. No per-query cost after setup.

Employee workflow — browser only, no training needed:

- 1 Opens **http://ai.office.local** in browser — works only inside office network
- 2 Selects client and month → uploads documents or links already-stored files
- 3 Clicks **Process** — AI runs in background (2–10 minutes depending on volume)
- 4 Reviews working, exceptions, reconciliation → approves or corrects
- 5 Downloads Excel / PDF / JSON — ready for portal, client, or records

Hardware (one-time cost):

Dedicated office server · 32GB RAM · 8-core CPU
GPU recommended · 2TB SSD · LAN connected
Estimated cost: ₹1.5–3 lakh

Software (mostly free / open-source):

Linux OS · Local AI model (Llama 3 / Mistral)
FastAPI backend · PostgreSQL database
Zero per-query cost after setup

4. GSTR-1 — Outward Supply Return

What it is: Every sale invoice the business issues must be declared in GSTR-1 monthly. The data feeds directly into each buyer's GSTR-2B for ITC claims.

Manual process today (6–8 hrs/client):

- 1 Collect sales data — Sales register / Tally / ERP / PDF invoices
- 2 Validate each invoice — GSTIN format, tax rate vs HSN, place of supply, date
- 3 Classify every supply — B2B / B2C large / B2CS / Export / Nil-rated / Exempt / RCM
- 4 Prepare HSN summary — group by HSN, compute totals per code
- 5 Find errors — duplicate invoice numbers, invalid GSTINs, rate mismatches

With AI (30 min review):

Task	By
Read all invoice formats (PDF/Excel/Tally)	AI
Validate GSTIN, HSN, tax rate, place of supply	AI
Classify B2B / B2C / Export automatically	AI

- 6 Convert to portal JSON format, upload and file

Compute HSN-wise summary totals	AI
Flag duplicates, mismatches, errors	AI
Review 23 flagged items only	HUMAN
Generate portal JSON + filing	AI + HU

GSTR-1 OUTPUT — ABC Pvt Ltd — September 2026

Invoices processed: **847** | B2B: **612** | B2C Large: **89** | B2CS: **146** Total Tax: **₹14,70,000** (CGST ₹6,18,000 + SGST ₹6,18,000 + IGST ₹2,34,000)

⚠ **23 exceptions:** 12 Invalid GSTINs 7 Rate Mismatches 4 Duplicate Invoice Nos

Files ready: GSTR1_Working.xlsx | GSTR1_HSN_Summary.xlsx | GSTR1_Portal.json | GSTR1_Exceptions.pdf

Time saved: ~7 hours per client per month. 847 invoices manually = 6–8 hrs. AI processing = 3 min. Human review of 23 exceptions = 30 min.

5. GSTR-2B — ITC Reconciliation

What it is: Auto-drafted ITC statement generated by the GST portal on the 14th of every month. Shows all purchase invoices suppliers have filed. **Company can only claim ITC that appears in GSTR-2B.**

The core problem: GSTR-2B must be matched against the company's own purchase register line by line. Mismatches mean ITC is over-claimed (audit risk) or under-claimed (cash lost). Done manually in VLOOKUP across thousands of rows.

Manual process today (4–5 hrs):

- 1 Download GSTR-2B JSON/Excel from portal (14th of month)
- 2 Get purchase register from client — Tally / ERP / manual Excel
- 3 Match invoice by invoice — GSTIN + Invoice No + Date + Amount (VLOOKUP)
- 4 Identify: In 2B not in books / In books not in 2B / Amount diff / GSTIN diff
- 5 Apply Section 17(5) blocked credits — exclude personal use, vehicles, food

With AI (30 min review):

Task	By
Parse GSTR-2B JSON/Excel from portal	AI
Read & normalise purchase register	AI
Fuzzy-match on GSTIN + Invoice + Amount	AI
Classify all mismatches by type	AI

6 Prepare final ITC eligibility working for GSTR-3B

Apply Section 17(5) blocked credit rules	AI
Review exception list + suggested actions	HUMAN
Output ITC eligibility for GSTR-3B	AI

GSTR-2B RECONCILIATION — ABC Pvt Ltd — September 2026

Category	Invoices	ITC Amount	Action
✓ Matched — Eligible ITC	412	₹2,18,400	Claim
△ In 2B, Not in Books	18	₹14,200	Verify & Book
△ In Books, Not in 2B	31	₹22,700	Supplier Follow-up
✗ Amount Mismatch	7	₹3,100 diff	Reconcile
⊘ Blocked — Sec 17(5)	9	₹8,900	Cannot Claim
Total Eligible ITC	421	₹2,32,600	Ready for 3B

Time saved: ~4.5 hours per client per month. AI processes 477 purchase vs 430 GSTR-2B entries in 3 min. Human reviews 56 exceptions in 30 min.

6. GSTR-3B — Summary Return & Tax Payment

What it is: Monthly summary return where the business declares total output tax, claims ITC and pays net GST. **This involves actual cash payment — wrong figures mean a tax demand or excess outflow.**

Why it's complex: Requires consolidating GSTR-1 output + GSTR-2B ITC + RCM liability + ITC reversal (Rule 42/43) + ITC utilisation sequence — IGST first, then CGST/SGST. Cross-utilisation of CGST with SGST is not permitted.

Manual process (2–3 hrs):

- 1 Prepare outward tax summary from GSTR-1 working — CGST / SGST / IGST by supply type
- 2 Calculate eligible ITC from 2B reconciliation — less Sec 17(5), less Rule 42/43 reversal
- 3 Calculate RCM liability — unregistered vendor purchases attract reverse charge

With AI (20 min review):

Task	By
Read GSTR-1 output directly	AI
Read 2B reconciliation ITC output	AI
Identify & compute RCM liability	AI
Apply Rule 42/43 ITC reversal	AI

- 4 Apply ITC utilisation order —
IGST → IGST → CGST → SGST (no cross-utilisation)
- 5 Compute net cash payable per head —
CGST / SGST / IGST / Cess
- 6 Enter on portal, pay, file

Apply prescribed utilisation sequence	AI
Show net cash per head with credit balance	AI
Review computation, portal entry & filing	HUMAN

GSTR-3B COMPUTATION — ABC Pvt Ltd — September 2026

Particular	CGST	SGST	IGST	Total
Output Tax (from GSTR-1)	₹6,18,000	₹6,18,000	₹2,34,000	₹14,70,000
Less: RCM ITC offset	₹12,000	₹12,000	₹8,400	₹32,400
Eligible ITC (from 2B recon)	₹98,400	₹98,400	₹35,800	₹2,32,600
Less: ITC Reversal Rule 42	₹4,200	₹4,200	—	₹8,400
Net ITC Available	₹94,200	₹94,200	₹35,800	₹2,24,200
Net Cash Payable	₹5,11,800	₹5,11,800	₹1,89,800	₹12,13,400

Files: GSTR3B_Computation.xlsx | ITC_Utilisation.xlsx | GSTR3B_Review.pdf

Time saved: ~2.5 hours per client per month. AI auto-computes from already-processed GSTR-1 + 2B outputs in 5 min. Human review 20 min.

7. TDS — Tax Deducted at Source

What it is: Payer deducts tax at payment time and deposits via Challan 281 (by 7th of month). Quarterly return (24Q / 26Q / 27EQ) filed on TRACES. TDS certificates Form 16 / 16A issued after filing.

Key sections in daily practice:

192 — Salary | 194C — Contractor (1%) | 194J — Professional/Technical (10%) | 194I — Rent (10%)
194A — Interest | 194H — Commission | 206AA — Missing PAN → 20% deduction

Manual process (8–10 hrs/quarter):

- 1 Collect salary register, vendor payments, rent, professional fees for the quarter
- 2 Map each payment to section; check thresholds (194C: ₹30k single/₹1L cumulative; 194I: ₹2.4L/year)

With AI (1 hr review):

Task	By
Parse salary/vendor registers	AI
Map payments to sections + check thresholds	AI

- 3 Validate PAN — invalid or missing = 20% deduction under Sec 206AA
- 4 Check 15G/15H certificates and Sec 197 lower deduction orders on file
- 5 Calculate TDS per deductee; track cumulative payments; flag threshold breaches
- 6 Reconcile against Challan 281 payments; calculate interest u/s 201 for late deposit
- 7 Enter in TDS software, generate FVU file, upload to TRACES, file return
- 8 Generate and issue Form 16 / 16A to deductees

Validate PAN format; flag missing PANs	AI
Apply 15G/15H and Sec 197 certificates	AI
Calculate TDS per deductee per section	AI
Reconcile vs Challan 281; compute interest	AI
Review 8 exceptions; approve computation	HUMAN
Generate FVU data; file on TRACES	AI + HU

TDS COMPUTATION — XYZ Ltd — Q2 July–September 2026

Section	Nature	Payments	Rate	TDS
192	Salary	₹48,00,000	Slab	₹4,80,000
194C	Contractor	₹12,50,000	1%	₹12,500
194J	Professional	₹8,00,000	10%	₹80,000
194I	Rent	₹6,00,000	10%	₹60,000
Total TDS for Quarter				₹6,32,500

⚠ 8 exceptions: 3 Missing PAN — 20% applied 2 Threshold just crossed
3 Lower deduction certs expired

Files: TDS_Computation_Q2.xlsx | Challan_Reconciliation.xlsx | TDS_Exceptions.pdf | FVU_Data.txt

Time saved: ~9 hours per client per quarter. 150 deductees across 4 sections manually = 8–10 hrs. AI: 10 min + 1 hr human review.

8. Income Tax Return — ITR Preparation

Documents processed:

Form 16 · AIS · TIS · Form 26AS · Bank statements
Previous ITR · Investment proofs · Capital gains
Financial statements · Interest certificates

Example AI finding:

"AIS shows ₹1,20,000 interest income. Working contains only ₹80,000. Difference ₹40,000 — please verify FD interest certificate."

- 1 Read and extract from all documents **AI**
- 2 Identify income by head — Salary / Interest / Business / Capital gains / Other **AI**
- 3 Cross-compare — AIS vs 26AS vs Bank vs Form 16 vs Previous ITR — flag every difference **AI**
- 4 Compute tax — income, deductions 80C/80D/HRA, taxable income, TDS, advance tax, refund/payable **AI**
- 5 Review differences, approve computation **HUMAN**
- 6 File on portal via IT utility / XML / JSON **HUMAN**

AIS vs 26AS — AI flags:

- Income in AIS not in 26AS
- TDS in 26AS not claimed
- Advance tax not reflecting
- FD interest gap
- Dividend income missing
- Capital gains discrepancy

Reports generated:

- Tax computation sheet
- Income reconciliation
- ITR review report
- Exception report
- Filing checklist · Client summary

9. Tax Notice Assistance

Upload Notice → AI Reads → AI Searches → AI Drafts → Pro Reviews & Signs

NOTICE ANALYSIS REPORT

Notice: Income Tax u/s 143(1) | **AY:** 2024-25 | **Issue:** Discrepancy in interest income

Available:

Form 16 ✓ | AIS ✓ (₹1,20,000 interest)
Bank statements ✓ | Previous ITR ✓

Still needed:

Interest certificate from bank
Investment proof for ₹40,000 difference

Draft response ready — AI identified ₹40,000 difference as Q4 FD interest not included in ITR. Prepared explanation for professional review and submission.

10. Accounting & Reconciliation

Bank statement processing:

Income · Expense categorisation
Transfer detection · Bank charges
Duplicate / unusual transactions
Missing entries flagged

Reports generated:

Expense summary · Income summary
Bank reconciliation statement
Monthly management report
Categorised P&L summary

Instead of employee manually checking thousands of entries: AI checks everything → employee checks exceptions only.

Reconciliation Type	Source A	Source B	Source C
GST	Purchase Register	GSTR-2B	Books / Ledger
Income Tax	AIS / TIS	Form 26AS	Bank / ITR
TDS	Computed TDS	Challan 281	Deductee 26AS
Accounting	Bank Statement	Ledger	Books

11. Client Document Management & Compliance Calendar

DOCUMENT STATUS — XYZ Corp — Sept 2026	
Document	Status
Sales Register	✓ Received
Purchase Register	✓ Received
GSTR-2B JSON	✓ Downloaded
Salary Register	⌚ Pending
Challan 281 copy	⌚ Pending
15G / 15H certs	✗ Not submitted
Auto-message drafted: "Salary register, Challan 281 and 15G/15H certificates are still pending. Please share to complete September compliance."	

Monthly compliance calendar — AI manages:

Date	Activity	Due
1–10th	Document collection + reminders	Ongoing
10–13th	GSTR-1 processing	11th
14–18th	GSTR-2B reconciliation	20th
16–19th	GSTR-3B computation	20th
20th	Review + pay + file 3B	20th
7th	TDS Challan payment	7th
Quarterly	TDS return 24Q/26Q	31st+
ITR season	ITR preparation	Per schedule

12. Work Dashboard & Reports

WORK DASHBOARD — TODAY

Category	Prepared	Review	Waiting
GST Cases	12	8	4
ITR Cases	20	11	6
TDS Cases	5	3	2

Urgent Notices (2):

- Client ABC — Income Tax — 2 days
- Client XYZ — GST — 5 days

GST Reports
GSTR-1 Working
GSTR-1 JSON 2B
Reconciliation
GSTR-3B
Computation
ITC Utilisation
Exception Report

IT Reports
Tax Computation
Income Reconciliation
AIS vs 26AS
Exception Report
Filing Checklist
Client Summary

TDS Reports
Section-wise Summary
Challan Reconciliation
Missing PAN Report
Interest Liability
FVU Data File
Form 16 / 16A Data

Formats: PDF | Excel | Word | JSON (portal-ready) | FVU (TDS filing)

13. Productivity, Oversight & Privacy

Productivity Impact — Real Numbers

Activity	Manual (per client)	With AI	Saved
GSTR-1 preparation	6–8 hrs / month	30 min review	~7 hrs
GSTR-2B reconciliation	4–5 hrs / month	30 min review	~4.5 hrs
GSTR-3B computation	2–3 hrs / month	20 min review	~2.5 hrs
TDS computation + return	8–10 hrs / quarter	1 hr review	~9 hrs
ITR preparation	5–8 hrs / client	1 hr review	~6 hrs
Monthly total per GST client	~17 hours	~2 hours	~15 hrs freed

30 GST clients: Manual = $30 \times 17 = 510$ hrs/month → With AI = $30 \times 2 = 60$ hrs/month → **450 hours freed every month.** Same team handles more clients with fewer errors.

Human Oversight — Always in Control

AI Handles Data reading + extraction Matching + reconciliation Rate + rule application	Human Reviews All exception items Unusual transactions Client-specific rules	Human Approves & Files Portal filing Tax payment Return signing
--	--	---

Exception flagging Report generation	Judgement calls Final figures	Professional liability Client advice
---	----------------------------------	---

The AI never files anything. The AI never pays any tax. Every return is filed by a professional who has reviewed and approved. AI is the preparation engine — the professional is the decision maker.

Privacy & Security

Data protected inside office: PAN · GSTIN · Bank statements Tax returns · AIS / TIS Salary data · Invoices · Notices	How: AI server on LAN only — no internet Role-based access per employee Full audit log of all AI actions No public AI subscription needed
--	--

14. Who Benefits & Final Vision

CA / Tax Professional Less repetitive work, more time for decisions	GST Team Faster GSTR-1, 2B recon, 3B computation	Junior Staff Guided workflows, fewer errors	Senior Staff Review exceptions, not every transaction
TDS Team Auto section mapping, PAN checks, challan recon	ITR Team Faster AIS/26AS comparison, tax computation	Management Live dashboard of all pending cases	Client Faster service, professional reports

The Complete Journey:



A private intranet AI system that turns client documents into validated GSTR-1 workings, GSTR-2B reconciliations, GSTR-3B computations, TDS returns, ITR computations and professional reports — with the professional approving every filing.